

**Time:** 5 minutes**Outcome:** Explain demand, quantity demanded, and movements along a demand curve.**Difficulty:**

Intermediate

Demand & the Law of Demand



THE CORE IDEA

Demand describes the quantities buyers are willing and able to purchase at different prices, holding other demand conditions constant. Quantity demanded is the amount buyers choose at one particular price. The law of demand states that a lower own price increases quantity demanded and a higher own price decreases it, all else equal. An own-price change causes movement between points on the same demand curve; it does not shift the curve.



HOW TO RECOGNIZE IT

- The good's own price changes while income, tastes, expectations, related-good prices, and the number of buyers remain constant.
- The question asks for quantity demanded at a particular price.
- Two points lie on the same downward-sloping demand curve.
- A lower price is paired with a larger quantity demanded.

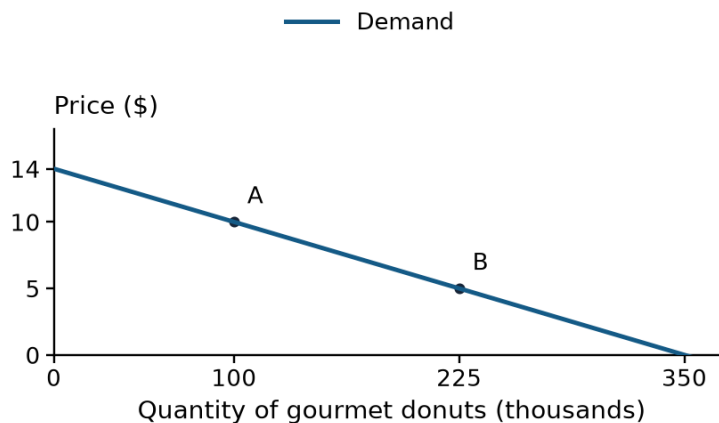


WATCH OUT

A change in the good's own price moves along demand. Only a nonprice determinant shifts the demand curve.



WORKED EXAMPLE: MOVEMENT ALONG DEMAND



On the gourmet-donut graph, point A shows a price of \$10 and quantity demanded of 100 thousand. Point B shows a lower price of \$5 and quantity demanded of 225 thousand. Because both points lie on the same demand curve and only the good's own price changes, the move from A to B is an increase in quantity demanded of 125 thousand, not an increase in demand.



CHECK YOURSELF

The price of a concert ticket falls and buyers move to another point on the same demand curve. What changes: demand or quantity demanded?

**READY?**

Return to the game and master this concept.